Security Deposit Accounting Treatment

Doc ID: SOP-DEP-001 | Version: 1.1 | Effective: 2024-04-01 | Category: Balance Sheet

Purpose

This procedure ensures tenant security deposits are recorded as a liability, held correctly, and refunded or applied in accordance with the lease and applicable law.

Recording a Deposit

A security deposit received from a tenant is recorded as a liability in account 6020 (Security Deposits Held), with the offsetting entry to the operating cash account. A deposit is never recorded as income when received, because it does not belong to the property until it is forfeited or applied per the lease.

Holding the Deposit

The deposit liability remains on the balance sheet for the life of the lease. The Security Deposits Held balance must tie to the sum of active lease deposits during the monthly close. A mismatch indicates a deposit was refunded without relieving the liability, or applied without proper entry.

Applying a Deposit

When a deposit is applied to unpaid rent or damages at move-out, the liability in 6020 is reduced and the corresponding receivable or income account is credited as appropriate. The application must reference the specific charges it satisfies.

Refunding a Deposit

When a deposit is refunded, the liability in 6020 is reduced and cash is paid out. The refund must be processed within the timeframe required by the jurisdiction governing the lease. Any deductions from the refund must be itemized and supported.

Interest on Deposits

Where the jurisdiction requires interest to be paid on held deposits, accrue the interest periodically and add it to the deposit liability. Confirm the applicable rate and frequency for each property's jurisdiction.